CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E9227B492
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Chip Schneider <chip.schneider@enron.com>
Sent: Fri, 1 Jun 2001 02:51:00 -0700 (PDT)
To: Ben Jacoby <ben.jacoby@enron.com>, Kay Mann <kay.mann@enron.com>
Cc: Joseph Deffner <joseph.deffner@enron.com>, W David Duran <w.duran@enron.com>, Herman Manis <herman.manis@enron.com>, Roseann Engeldorf <roseann.engeldorf@enron.com>, Lisa Bills <lisa.bills@enron.com>, Chris Booth <chris.booth@enron.com>
Subject: RE: GE Turbines

We need to know how probable the other projects are; at what point do we propose to put the turbines back on the market for re-sale; and what is our best estimate of the potential downside upon re-sale.

-----Original Message-----
From: Jacoby, Ben
Sent: Friday, June 01, 2001 9:47 AM
To: Schneider, Chip; Mann, Kay
Cc: Deffner, Joseph; Duran, W. David; Manis, Herman; Engeldorf, Roseann; Bills, Lisa; Booth, Chris
Subject: RE: GE Turbines

I think we decided to take the turbine purchase approval route, and describe the several projects (Midway et al) that we can match the turbines with. Are you still OK with that?

-----Original Message-----
From: Schneider, Chip
Sent: Friday, June 01, 2001 9:05 AM
To: Mann, Kay; Jacoby, Ben
Cc: Deffner, Joseph; Duran, W. David; Manis, Herman; Engeldorf, Roseann; Bills, Lisa
Subject: RE: GE Turbines

Depending upon the route we take for approval (turbine purchase vs. project approval), the DASH process should take no more than 5 to 10 days. How firm are we on the Midway project?

-----Original Message-----
From: Mann, Kay
Sent: Friday, June 01, 2001 8:47 AM
To: Jacoby, Ben
Cc: Deffner, Joseph; Duran, W. David; Manis, Herman; Engeldorf, Roseann; Schneider, Chip; Bills, Lisa
Subject: RE: GE Turbines

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I think Ben's time frame is realistic. I assume we will enter into an assignment and assumption agreement with Sithe, to which GE will consent. In addition, we may need an override letter to the turbine contract to address the E-Next/accounting issues. GE is familiar with what we need in for E-Next, which should help expedite matters.

Kay

From: Ben Jacoby/ENRON@enronXgate on 05/31/2001 07:55 PM
To: Joseph Deffner/ENRON@enronXgate, Kay Mann/Corp/Enron@Enron, W David Duran/ENRON@enronXgate, Herman Manis/ENRON@enronXgate, Roseann Engeldorf/ENRON@enronXgate, Chip Schneider/ENRON@enronXgate, Lisa Bills/ENRON@enronXgate
cc:

Subject: RE: GE Turbines

I've been told that we need to resubmit a non-binding expression of interest by Tuesday. Previously, we submitted a one page non-binding letter indicating that the FMV of the units is $44 MM each. You raise a good point in that we should be prepared to say (again, on a non-binding basis) how long we will need to close (in addition to increasing the bid on the units). I think if our number is good, 30 - 45 days for documentation and close would work, but I think we should also be willing to post some non-refundable $s within say, 2 weeks on the basis of an exclusivity agreement with Sithe.

The group's thoughts on this would be appreciated.

Thanks.

-----Original Message-----
From: Deffner, Joseph
Sent: Thursday, May 31, 2001 6:56 PM
To: Jacoby, Ben; Mann, Kay; Duran, W. David; Manis, Herman; Engeldorf, Roseann; Schneider, Chip; Bills, Lisa
Subject: RE: GE Turbines

What is expected for the Tuesday bid? I would guess the most critical from a timing perspective will be a response centered on price and commercial/technical issues. Michael indicates below he would like a timetable for internal approvals to a closing. Do we have any indication how pressed he is to close and fund versus agreeing on economic terms quickly and allowing us to review the form of contract to ensure compliance with accounting and finance guidlelines along the lines of our discussion earlier

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this week? Thanks.

-----Original Message-----
From: Jacoby, Ben
Sent: Thursday, May 31, 2001 5:59 PM
To: Mann, Kay; Schneider, Chip; Bills, Lisa; Manis, Herman; Engeldorf, Roseann
Cc: Booth, Chris; Rose, Steven; Virgo, Robert; Duran, W. David
Subject: FW: GE Turbines

All:

FYI, tomorrow I should receive turbine contracts for the 3 GE 7FAs being sold by Site. Please see the e-mail below from Sithe's advisor regarding the transaction schedule. Kay and I plan to initially review the contract, and I have a technical team (Booth / Rose) ready to review the contracts as well.

From an accounting / finance perspective, I am interested in how we should proceed given the circumstances. Kay and my initial plan is to review the contracts from a technical / legal / commercial perspective and submit a revised indicative number by Tuesday in consultation with Duran. Between now and then, it would be helpful to know from accounting / finance how we should proceed given that we are in a bidding situation (with I'm told three other bidders). Herman / Rose / Lisa - please let me know your thoughts on this.

Chip - I would like Chris Booth to work with you on putting a draft DASH together.

In the meantime, I will forward turbine contracts to everyone as soon as I receive them.

Regards,

Ben

-----Original Message-----
From: MKolman@rcgroup.com@ENRON
[mailto:IMCEANOTES-MKolman+40rcgroup+2Ecom+40ENRON@ENRON.com]
Sent: Thursday, May 31, 2001 2:40 PM
To: Ben.F.Jacoby@enron.com
Subject: Re: GE Turbines

Ben:

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Per our conversation today, the turbine contract and LTSA are being sent via Fed Ex to your office in Houston.

Final bids are due next Tuesday, June 5th via fax to 781-270-0055. Bids should include best price and a closing schedule (date by which bidder will have all internal approvals necessary to enter into a binding agreement with Seller subject only to consent from GE).

Thanks again for you patience and please call me if you have any questions,

Michael

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Michael A. Kolman
Principal
[REDACTED] B6
(781) 564-9774 (direct)

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